

Lucas Sernik: ECON 580 Final Manuscript

You wrote an interesting paper on the political economy of public spending in a large number of municipalities in São Paulo state.

The key contribution of your paper at this stage is the data collection at a very granular level (in terms of geography and spending categories) over the course of two elections cycles. This is, by itself, a demanding task and you executed it well.

The theory leans heavily on Besley and Case (1995). This is perfectly fine. This being said, you make a distinction between different types of expenditures and it would have been helpful to integrate this aspect into the model. As long as expenditure decisions are independent across categories (which you can simply assume as a starting point), this is a straightforward step and mostly involves some additional notation. Papers that use theory to motivate the empirics are most convincing when the empirical strategy mirrors the theory closely. If you were to continue work on this paper, this aspect merits attention.

In your empirics, you find that mayors tend to use certain expenditure categories when they run for re-election compared to lame-duck administrations. What is missing is a description of what is included in each category (e.g., “urbanismo”, “administração”,...) and a discussion of their potential for rent extraction by mayors. You can use the prior literature to characterize this potential. The reader would benefit from this information since it connects your empirical results more closely to what we know about rent-seeking behavior.

In sum, this is a nice contribution and is the kind of project that ECON 580 is aiming for. It's a stand-alone body of work and, if you are interested in pursuing it further, it still has the potential to grow into a more ambitious Honors thesis.

Minor Comments and Suggestions

Here are a few minor comments.

- On page 8, you introduce the mayor's type ω . Towards the bottom of the page, you write that the mayor's utility is decreasing in ω . I may be missing something but I was expecting a positive relationship between the type and utility of holding office.
- In your description of the data on page 14, you include some step-by-step descriptions. This is too much detail for the body of the paper. Typically, you limit the description to the source (who publishes the data), what is included in the dataset

(level of observation, type of data,...), and why it can be used to answer your questions. Data management etc. is usually relegated to an appendix.

- On page 16 you explain why you are demeaning the discretionary share of public spending. I can't follow the logic.

If you are concerned about multicollinearity, demeaning is not going to help.

Demeaning is a linear transformation of the original share. By definition, collinearity is not affected by this transformation.

Somehow, the transformation affects the correlation coefficient (which drops from close to 1 to almost 0). Collinearity and correlation are related but are certainly not the same thing. It is puzzling to see the sizeable effect of demeaning on the correlation coefficient. You need to check what exactly is going on.